

SEGMENT REVIEW AND ANALYSIS

ACTIVATED CARBON SEGMENT

Transforms coconut shell charcoal and other sustainable raw materials into innovative activated carbon solutions serving a broad spectrum of global, industrial and environmental applications.

Operating Environment in 2025/26

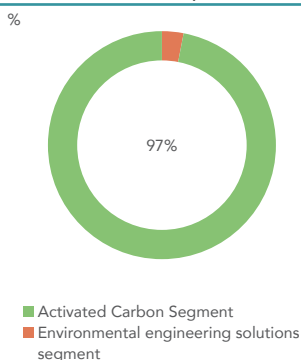
- » Continued supply limitations across key raw material sourcing markets led to elevated charcoal prices and heightened competitive pressures.
- » Tightening environmental standards globally continued to increase demand for purification-related solutions.
- » Advancements in energy storage technologies accelerated the need for specialised carbon applications.
- » Geopolitical developments and trade-related uncertainties, including proposed tariff measures in key export destinations, continued to create volatility within global supply chains.

Strategic Priorities in 2025/26

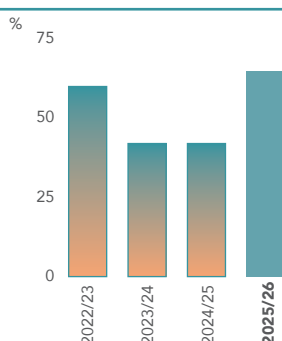
- » Increase the contribution from value-added carbon categories including energy storage, PFAS removal, air purification and specialty carbon solutions.
- » Expanding manufacturing capacity for value added products , including the scale up of energy storage carbon production facilities.
- » Strengthen and broaden raw material sourcing capabilities across strategic sourcing geographies.
- » Continue progressing the Group's greenfield manufacturing project in the Philippines.

- » Improve operational agility and efficiency through automation, digitalisation and process enhancement initiatives.
- » Expand market penetration across key growth regions including Central Asia, North America, Africa and the Middle East.

Contribution to Group Assets



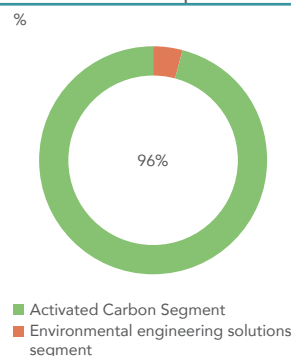
Activated Carbon Segment - Revenue



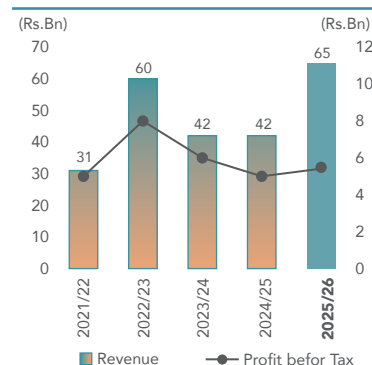
ACTIVATED CARBON SEGMENT

Revenue (Rs. Bn)	65.3
Our Team	1,979
New products Launched	14
Global Market share (%)	16

Contribution to Group Liabilities



Performance Trends



KEY MARKETS SUPPORTING PERFORMANCE IN 2025/26

- » Asia
- » North America
- » Africa
- » South America
- » Europe
- » Oceania

KEY APPLICATIONS DRIVING PERFORMANCE IN 2025/26

- » Gold recovery
- » Energy storage applications
- » Water purification
- » Air and gas purification

APPLICATIONS EXPECTED TO SUPPORT FUTURE GROWTH

- » Energy storage carbons
- » PFAS removal carbons
- » Air purification carbons
- » Water purification carbons
- » Specialty industrial carbons



DIGITALISATION TO ENHANCE PERFORMANCE

- » Expanded automation and real-time operational monitoring capabilities across manufacturing locations.
- » Enhanced data-driven decision-making through advanced analytics, reporting tools and digital insights.
- » Continued to strengthen employee capabilities through digital learning platforms and technology-enabled knowledge-sharing initiatives.
- » Continued enhancement of corporate website to expand brand presence and leveraged integrated CRM capability to improve interactions with customers.



REDUCING OUR ENVIRONMENTAL FOOTPRINT

- » Continued investments in renewable energy and energy efficiency initiatives across operations.
- » Strengthened sustainable water management practices throughout the Group.
- » Expanded initiatives aimed at improving energy efficiency and operational performance.
- » Continued focus on sustainable sourcing practices and circular economy-related initiatives.

Rs. Mn	2025/26	2024/25	Y-O-Y %
Revenue	65,273	41,679	57%
Profit after tax	4,303	4,234	2%
Total assets	61,651	44,061	40%
Total liabilities	29,413	15,447	90%

Performance in 2025/26

The Activated Carbon segment demonstrated resilience during the year despite continued supply-side challenges and a complex global operating backdrop. Performance was supported by healthy demand across gold recovery, energy storage, water purification and air purification applications together with continued focus on innovation, operational efficiencies and market diversification.

The increasing contribution from value-added carbon applications, particularly within energy storage and water purification categories, further strengthened the Group's strategic positioning. At the same time, targeted supply chain interventions supported operational continuity amid ongoing raw material constraints.

MANAGING SUPPLY CHAIN CONSTRAINTS

- » Strategic interventions were implemented to secure uninterrupted raw material supplies amid prevailing market shortages.

- » Supplier networks across Sri Lanka, Indonesia, Thailand, India, Vietnam and the Philippines were further strengthened and expanded.
- » Backward integration initiatives, including green charcoaling operations, continued to support long-term supply chain resilience.
- » Alternative sourcing strategies and raw material options were explored for selected applications to mitigate supply-side risks.

ADVANCING STRATEGIC GROWTH

- » Strengthening strategic focus on energy storage carbons in response to rapidly growing global demand.
- » Asia continued to remain the Group's largest market supported by strong demand for purification and gold recovery applications.
- » Increased contribution from value-added carbon products supported margin enhancement and revenue diversification.

- » Growing demand for PFAS removal and environmental purification solutions supported expansion opportunities in North America and Europe.

INNOVATION

- » Innovation continued to remain a strategic focus area supported by ongoing investments in research, development and technical capabilities.
- » Continued emphasis was placed on expanding the Group's energy storage carbon portfolio.
- » Product development initiatives were accelerated to address emerging purification and environmental application requirements.
- » Investments in R&D and testing capabilities supported the development and commercialisation of innovative carbon solutions aligned with evolving customer expectations.

ENERGY STORAGE CAPACITY ENHANCEMENT

The Group continued to strengthen its strategic focus on energy storage carbons in response to growing global demand driven by electric vehicles, Data centres for AI, renewable energy storage and next-generation electronic applications.

SEGMENT REVIEW AND ANALYSIS

To support this growth, the Group enhanced manufacturing and post-activation capacities across selected operations while continuing investments in research, process optimisation and technical capabilities to strengthen its energy storage carbon portfolio.

EXPANDING MANUFACTURING FOOTPRINT

Keeping in line with strategic plans of the Company, a new kiln was installed in Shizuka, Thailand and the construction of a new green field manufacturing plant commenced in Philippines.

FUTURE OUTLOOK FOR 2026/27

Demand for activated carbon solutions is expected to remain favourable driven by increasingly stringent environmental regulations, industrial expansion, growing water purification requirements and the accelerated adoption of energy storage technologies. In particular, energy storage carbons are expected to remain a key strategic growth priority for the Group supported by increasing global demand arising from electric vehicles, renewable energy storage systems, artificial intelligence infrastructure and next-generation electronic

applications. Nevertheless, ongoing raw material supply constraints, global economic uncertainties and trade-related developments are expected to continue creating operational complexities.

Despite these challenges, the Group remains confident in its ability to leverage its global manufacturing footprint, diversified market presence, technical expertise and innovation-led strategy to strengthen resilience and deliver sustainable long-term growth.

ENVIRONMENTAL ENGINEERING SOLUTIONS SEGMENT

With over three decades of experience Puritas Provides end-to-end services in Design, Engineering, Construction Installation, Testing and Commissioning and O&M services of water and wastewater treatment solutions, contributing towards a cleaner, safer and a more sustainable future.

Operating Environment in 2025/26

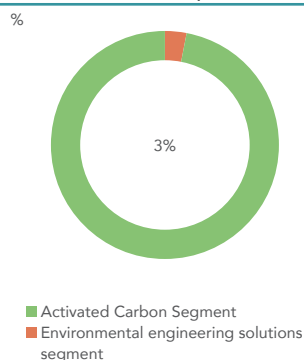
- » Improved macroeconomic stability in Sri Lanka supported increased industrial and infrastructure-related activities.
- » Recovery in the Maldives tourism sector continued to support demand for water and wastewater treatment solutions.
- » Growing environmental awareness and tightening regulatory expectations increased demand for sustainable wastewater management solutions.
- » Increasing focus on water security and desalination created further opportunities across island economies.

Strategic Priorities in 2025/26

- » Deliver integrated end-to-end wastewater treatment solutions leveraging internal expertise and technological capabilities.
- » Expand market presence and operations across Sri Lanka and the Maldives.
- » Strengthen operations and maintenance service capabilities.

- » Broaden the product portfolio through strategic partnerships and collaborations.
- » Enhance technical expertise and laboratory capabilities to provide specialised treatment solutions.

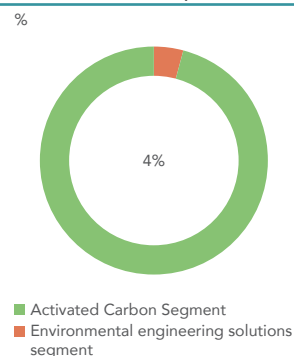
Contribution to Group Assets



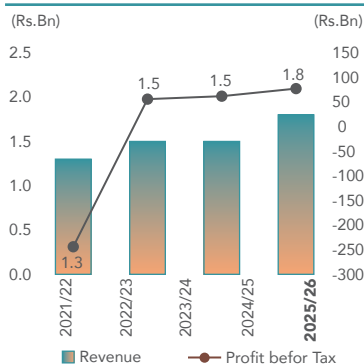
ENVIRONMENTAL ENGINEERING

Revenue (Rs. Bn)	1.93
Our Team	105
Projects won	40
Countries served	2

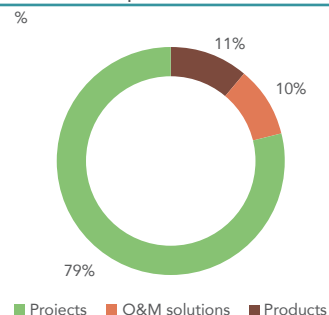
Contribution to Group Liabilities



Performance Trends



Revenue composition



INDUSTRIES SERVED

- » Hospitality
- » Residential and Commercial Developments
- » Food and Beverage
- » Textile
- » Healthcare
- » Plantations
- » Cosmetics
- » Paint and Chemicals
- » General Manufacturing

OUR SOLUTIONS

- » Water purification solutions
 - » Raw Water Treatment Plants (WTPs)
 - » Sewage Treatment Plants (STPs)
 - » Industrial Effluent Treatment Plants (ETPs)
 - » Recycling Plants
- » O&M and Monitoring Solutions
- » Premium filtration technologies including RO/UF membranes
- » Distributorship of chemicals and accessories for water/waste water treatment solutions
- » Packaged Sewage Treatment Plants
- » Infrastructure Projects (Water Supply / Sewage Schemes)

KEY MARKETS

- » Sri Lanka
- » Maldives

Rs. 000'	2025/26	2024/25	Y-O-Y %
Revenue	1,925,662	1,522,062	27%
Profit before tax	64,391	83,108	-23%
Total asset	2,216,643	1,836,369	21%
Total liabilities	1,109,168	772,643	44%

Strategic partnerships and product collaborations continued to support growth in membrane solutions and related water treatment products.

FUTURE OUTLOOK FOR 2026/27

The outlook for the Environmental Engineering Solutions segment remains positive supported by improving industrial activity, infrastructure development and increasing environmental awareness across key operating markets.

Growing demand for wastewater treatment, water reuse, desalination and sustainable water management solutions is expected to create further growth opportunities across both Sri Lanka and the Maldives in the years ahead.

The company also driving entry in to new geographic markets for delivery of specialised water and waste water treatment solutions.

Performance in 2025/26

The Environmental Engineering Solutions segment continued to record growth during the year supported by improving economic conditions and increasing demand for industrial water and wastewater treatment solutions across Sri Lanka and the Maldives.

The segment continued to leverage its engineering expertise, laboratory capabilities and customised treatment solutions to deliver sustainable and cost-effective water and wastewater treatment projects across multiple industries.

Our Value Proposition

- » Comprehensive and customisable water and wastewater treatment solutions for industrial and domestic applications.
- » Strong technical expertise and specialised laboratory capabilities enabling tailored treatment solutions.
- » End-to-end project execution capabilities spanning design, construction, operations and maintenance.
- » Sustainable and cost-effective purification solutions focused on delivering long-term customer value.

Performance in Sri Lanka

Improving economic activity and increasing industrial investments in Sri Lanka continued to create growth opportunities within the infrastructure and industrial sectors.

The segment continued delivering customised wastewater treatment projects across a range of industries while further strengthening its recurring operations and maintenance service portfolio.

Technical expertise, engineering capabilities and advanced laboratory testing facilities continued to support the delivery of efficient and sustainable treatment solutions aligned with customer and regulatory expectations.

Performance in the Maldives

Demand for water and wastewater treatment solutions in the Maldives continued to be supported by the tourism and hospitality sectors during the year under review.

The segment also continued focusing on desalination and water purification solutions to support increasing demand for potable water and sustainable water management infrastructure within the country.